

Assignment

1. Porter's five forces analysis for Sun Pharma

- a. **Competitive Rivals - High** : The generic drug industry is incredibly crowded. Sun Pharma competes with massive global players (Teva, Viatris) and aggressive Indian peers (Cipla, Dr. Reddy's, Lupin). When a drug's patent expires, dozens of generic players enter. This causes rapid price erosion—often dropping drug prices by up to 70–80% within a year.
Sun Pharma further raised the barrier against entrants by entering a strategic alliance with Philogen for anti-cancer immunotherapy and acquiring Checkpoint Therapeutics to add a commercial-stage immuno-oncology asset to its pipeline. This shifts them away from low-margin competitive generic price wars.
- b. **Threat of New Entrants - Low** : A new company cannot simply start manufacturing complex medicine. You need strict compliance with international bodies (USFDA, WHO, GMP), decades of clinical trial data, huge upfront capital, and a highly specialized workforce. It takes years just to get a single production line approved.
- c. **Threat of Substitutes - Low** : For serious diseases (severe infections, acute cardiac issues), there are virtually no real substitutes for chemical or biological drugs. While lifestyle changes, wearable medical tech can substitute for minor chronic conditions (like early-stage pre-diabetes), they pose a very minimal threat to a prescription-heavy giant like Sun Pharma.
- d. **Customer Power - Moderate to High** : Buyers aren't individual patients; they are large institutional entities like Government Health Tenders (e.g., India's DPCO price controls) and massive Pharmacy Benefit Managers (PBMs) or hospital chains in the US. In the US, the top 3 PBMs control roughly 80% of insured lives. They hold incredible leverage to demand steep discounts and rebates. If Sun Pharma doesn't lower its price, the PBM will simply choose a competitor's generic drug for its insurance roster. Sun offsets this via its high-entry-barrier specialty portfolio.

- e. **Supplier Power - Low to Moderate** : The main suppliers are chemical companies providing Key Starting Materials (KSMs) and Active Pharmaceutical Ingredients (APIs—the actual raw medicine). Sun Pharma has excellent backward integration. They manufacture roughly 40% of their APIs in-house. This gives them a massive buffer against supplier price shocks compared to smaller pharma companies. But the risk: Historically, the global pharma industry has relied heavily on China for raw chemical inputs, introducing supply chain shocks (like during 2020-22).

Reference:

https://www.researchgate.net/publication/382105615_Porter's_Five_Forces_Analysis_of_the_Pharmaceutical_Industry_10

<https://portersfiveforce.com/products/sunpharma-five-forces-analysis#:~:text=Global%20and%20Indian%20peers%20crowd.IV%20and%20exclusivity%20windows%20close.>

<https://matrixbcg.com/products/sunpharma-five-forces-analysis#:~:text=Sun%20Pharma%20has%20shifted%20from,up%20from%2029%25%20in%202021>

2. Economic moat

Sun Pharma achieves an annual consolidated sales revenue exceeding ₹58,200 Crores (582,201 million) with a strong EBITDA margin of 30.3%. This level of consistent profitability and high operational cash flow is the direct outcome of an economic moat protecting its core business.

- a. **Cost Advantages:** Sun operates over 40 state-of-the-art manufacturing facilities across 6 continents. Because they produce a vast amount of their own APIs (backward integration), their Cost of Goods Sold (COGS) is significantly lower than that of smaller boutique manufacturers. They can survive price wars that bankrupt others.
- b. **Intangibles:** Sun owns a massive library of intellectual property, including ANDAs (Abbreviated New Drug Applications) approved by the USFDA, patents for complex formulations, and a vast field force. In India, 29 of Sun's brands rank in the top 300 nationwide.

- c. **Switching Costs:** Sun Pharma has invested heavily in specialty drugs for Dermatology (skin), Ophthalmology (eyes), and Oncology (cancer). For example, their branded drugs like Ilumya (for plaque psoriasis) or Leqselvi (for alopecia) require unique manufacturing and high clinical trust. Once doctors and chronic patients find a specialized biologic/drug that safely works for them, they are highly hesitant to switch to an unknown competitor.
- d. **Network Effects:** While Sun Pharma lacks a classic, direct product-user network effect, it possesses a powerful indirect, two-sided distribution network effect. Sun Pharma has a domestic field force of over 12,500+ medical representatives reaching roughly 600,000 doctors. When a medical community widely adopts a brand, it creates an ongoing standard of care, making individual doctors highly hesitant to break away from peer groups and risk switching to a lesser-known generic alternative.

Reference:

<https://dcf-model.com/products/sunpharmans-porters-five-forces-analysis#:~:text=Explore%20how%20Sun%20Pharmaceutical%2DIndia's,generics%20rivalry%2C%20rising%20biosimilar%20substitutes>
<https://www.screener.in/company/SUNPHARMA/consolidated/#:~:text=It%20offers%20medications%20in%20multiple,%2C%20and%20onco%2Ddermatology%20segments>.

3. Business Model Canvas

a. Value Proposition:

- Providing affordable, high-quality bioequivalent generic alternatives to expensive branded medications.
- Developing high-margin, complex specialty therapeutics (specifically in dermatology, ophthalmology, and oncology) to solve unmet chronic medical conditions.
- Ensuring an unbroken, vertically integrated supply of crucial chemical APIs.

b. Customer Segments:

- Healthcare Professionals (HCPs): Doctors, oncologists, and dermatologists who write the actual prescriptions.

- Institutional Buyers: Global pharmacy chains (CVS, Walgreens), hospitals, and Group Purchasing Organizations (GPOs).
- Governments & Public Health Agencies: Bidding on large national tenders for affordable public healthcare.
- End Patients: Chronic and acute disease sufferers worldwide requiring life-saving medications.

c. Revenue Streams:

- High-margin, proprietary drug sales across developed markets.
- High-volume sales of essential oral and injectable medications.
- Selling excess raw active pharmaceutical compounds to external manufacturers.

d. Cost Structure:

- Consistently allocating 6-8% of annual revenues into clinical discovery and global specialty pipelines.
- Capital-intensive upkeep of 40+ globally compliant manufacturing plants; optimized by API backward integration.
- Massive workforce expenses driven by a global field force of 12,500+ sales reps and extensive medical marketing.
- Heavy expenditure on USFDA compliance frameworks and defending intellectual property portfolios globally.

Reference:

<https://matrixbcg.com/products/sunpharma-business-model-canvas>

<https://pestel-analysis.com/products/sunpharma-five-forces-analysis#:~:text=P%20hysician%20Influence%3A%20Doctors%20often%20recommend,limiting%20direct%20consumer%20bargaining%20power.>

<https://www.bseindia.com/xml-data/corpfiling/AttachHis/511405ab-48e8-4d89-84af-aaa2e083e816.pdf>